

Multiple Choice (10 marks)

1. The Daily Beetle has a circulation of 400,000. If the newspaper's rate is \$1.20 per page line, find the millinerate.
 - (a) \$5.00
 - (b) \$2.50
 - (c) \$1.80
 - (d) \$2.80
 - (e) \$1.20
2. George sells vacuum cleaners for \$75 each. He receives a 30% commission on each cleaner. Last week he sold 13 machines. What were his total earnings?
 - (a) \$325.50
 - (b) \$650
 - (c) \$585
 - (d) \$405
 - (e) \$975
3. Suppose the demand curve for iPods is given by $p = \frac{500 - x}{10}$, What is the elasticity value of this demand function.
 - (a) 0.0
 - (b) -0.75
 - (c) -2.5
 - (d) -3.0
 - (e) 2.5
4. Fred Lowes is a typewriter salesman. He receives \$15 for each typewriter sold. If he sells 12 typewriters what is his commission?
 - (a) \$210
 - (b) \$200
 - (c) \$225
 - (d) \$175
 - (e) \$195
5. Harry Hype is paid a straight wage of \$2.89 (1/2) per hour. If he works 9 hours a day in a six-day week, how much will he be paid?

- (a) \$168.21
- (b) \$150.48
- (c) \$156.33
- (d) \$174.96
- (e) \$192.78

True / False (10 marks)

Answer True or False

6. True or False: The refund amount for the cancelled automobile insurance policy was \$155, as the full premium is returned upon cancellation.
7. True or False: John Backus borrowed 340.00 *from the Third National Bank, which includes the interest*
8. True or False: The selling price of Mike's automobile is 87% of its original cost of \$12,640.
9. True or False: The average yearly depreciation of an automobile that decreased from 3,000 to 1,000 over four years is \$300.
10. True or False: Work specialization involves dividing tasks among individuals to ensure efficiency and prevent any one person from being overburdened.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Calculate the rate of return on a preferred stock with a par value of 50 *and a dividend rate of 5.5*
11. Discuss the implications of a commission-based compensation structure, using Albert Morgan's sales of \$3,500 to calculate his earnings and analyze how this model impacts motivation and performance.

End of Paper